

Etsy Ads Tutorial 2026 (Complete Guide)

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Executive Summary

Takumi Hagino shares his exact Etsy Ads framework used across 30+ stores: start early with a low budget, ruthlessly cut underperformers using CTR and sales thresholds, then scale winners gradually through three defined phases.

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Why Most Etsy Sellers Fail at Ads 0:47

- **Mistake 1 — Avoiding ads entirely**
 - Sellers hear Etsy has 90+ million active buyers and free organic traffic, so they assume ads are a waste of money
 - What they miss: ads accelerate everything
 - Help Etsy's algorithm discover which products are winners
 - Get listings in front of buyers faster
 - Generate data to optimize listings
 - Note: you *can* succeed without ads — many clients do — but ads are a massive lever if you want to scale faster
- **Mistake 2 — Setting and forgetting**
 - Sellers turn on ads, set a daily budget, and don't check for weeks
 - Come back to find hundreds of dollars spent on products that never converted
 - Ads require attention every 24–48 hours maximum

- Kill losers before they drain the budget
- Scale winners while they're hot
- Getting lazy with checking = becoming unprofitable
- **Mistake 3 — Not scaling when profitable**
 - Sellers find a winning product with strong ROAS (e.g., above 3) and leave it on the same budget forever
 - Example: spending \$10/day at 2.5 ROAS — should scale to \$15 and test if it holds, then scale again
 - Most people leave money on the table out of fear of increasing budget

When to Start Running Ads 1:39

- Etsy restricts ad access for new accounts — there is a mandatory **14-day grace period**
 - You physically cannot run ads until the store is at least 14 days old
- Once you hit 14 days, go to: Etsy Dashboard → Marketing → Etsy Ads
- Recommendation: start running ads **as soon as possible** after the 14-day mark
 - Don't wait months
 - Don't wait until you have existing sales
 - Start early with a low budget
- Why start early?
 - Ads gather data faster than waiting for organic traffic
 - Show which products have potential within days, not weeks
 - The sooner you start, the sooner you learn

Initial Setup: Budget and Listings 3:06

- Set daily budget to **\$5 AUD per day** — nothing more at this stage
- Apply ads to **10 of your best listings**
 - Spreads budget across multiple products, roughly \$0.50 average ad spend each
- Why 10 listings instead of 1–2?
 - At this stage you don't know which products are winners yet
 - You're testing and letting the algorithm discover what resonates with buyers
 - Etsy automatically spreads daily spend across advertised listings
 - Some listings get more impressions than others based on Etsy's algorithm judgment
- Your only job at this stage: let the data come in
 - Watch which listings get more impressions, clicks, and — most importantly — sales

The First 2–3 Days: Hands Off 3:52

- The most important rule for the first 2–3 days: **do not touch anything**

- Resist the urge to check every hour and make changes
- Etsy needs time to spread budget across all products
- You need data before you can make smart decisions
- Let ads run, let Etsy distribute the budget, watch data accumulate
- During this period, observe:
 - Which listings are getting the most impressions
 - Which listings are getting the most clicks
 - Which listings are generating sales
- This data is the foundation for the next step

The Ad Killing Strategy 4:14

- Most people lose money because they let bad products keep spending, hoping they'll eventually convert — they won't
- Two-checkpoint system to decide what to kill and what to keep:

Check	Threshold Spent	Metric	Action
Check 1	~\$5 per product	CTR (Click-Through Rate)	Keep if CTR $\geq 1\%$; kill if CTR $< 1\%$
Check 2	\$10–\$15 per product	Sales	Keep if ≥ 1 sale; kill if 0 sales

- **Check 1 — CTR at \$5 spend:**
 - CTR $\geq 1\%$: people are seeing the listing and clicking → good sign, keep testing
 - CTR $< 1\%$: people see it but don't click → problem with the image or product appeal → turn off ads immediately, don't waste more money
- **Check 2 — Sales at \$10–\$15 spend:**
 - Use \$10 threshold for lower-ticket products, \$15 for higher-ticket products
 - At least 1 sale by this point → converting well, leave it running
 - Zero sales by \$15 spent → not converting → kill it and move on
- Common reason people don't follow this: emotional attachment to their products
 - "Don't hope. Use the data. Kill the losers. Save your budget for the winners."

Daily Monitoring and ROAS Tracking 5:45

- Check ad performance **every single day** — this is not a set-and-forget system
- Focus on what matters:
 - Which listings are generating **sales** (not just clicks — clicks are nice, sales are what matter)
 - **ROAS** (Return on Ad Spend): for every \$1 spent on ads, how much do you make in return?
- **Minimum target ROAS: 2**

- Spend \$10 on ads → should make at least \$20 in sales (2x return)
- Below 2: not making enough profit to justify ad spend (with some niche exceptions)
- Above 2: you're in good shape
- Key advantage of Etsy ads: ad cost is deducted from your earnings, not paid out of pocket upfront — you only pay when a sale is already made

The Three-Phase Scaling System 6:31

- **Phase 1 — Testing at \$5/day**
 - Starting point for everyone
 - \$5/day spread across all 10 listings
 - Let data come in, apply ad killing strategy, identify winners
- **Phase 2 — Scale to \$25/day**
 - Turn off ads for non-performers (using the kill strategy)
 - Increase daily budget by **\$5 increments**
 - Only increase if ROAS has been consistently above 2 and profitable for **at least 3–5 straight days** at the current spend level
 - Wait 3–5 days → confirm stability → increase by another \$5
 - Repeat until you reach **\$25/day total**
- **Phase 3 — Scaling beyond \$25/day**
 - Switch from \$5 increments to **20% increases every few days**
 - At \$25 → scale to \$30, wait 3–5 days
 - ROAS holds → scale to \$36, and so on
 - Critical rule: **do not scale too fast**
 - Jumping budget too quickly (e.g., \$10 straight to \$50) causes Etsy to overspend and ROAS drops
 - Algorithm needs time to adjust to higher budgets
 - Always wait at least 3–5 days between increases to confirm profitability remains stable

Patience is how you scale without destroying your margins.

The Flywheel: Ongoing Growth Process 8:03

- The strategy is not a one-time event — it's a **daily ongoing habit**
- The flywheel cycle:
 - Keep uploading new listings daily
 - Test ads on every new product
 - Kill the losers using the CTR and sales checks
 - Scale spend for the winners

- Repeat
- Every day you feed new products into the testing machine
 - Losers get cut, winners get more budget, account compounds and grows
- Sellers who scale fastest treat this as a daily discipline, not a periodic task

Full Strategy Summary 8:27

- Wait until store is **14 days old**, then start ads immediately
- Set daily budget to **\$5/day across 10 listings**
- Let ads run for **2–3 days without touching anything**
- Apply the ad killing strategy:
 - CTR check at ~\$5 spent — kill if below 1%
 - Sales check at \$10–\$15 spent — kill if zero sales
- Watch ads **daily**, track ROAS, minimum target is **ROAS 2**
- Scale in **\$5 increments up to \$25/day**, waiting 3–5 days between each increase
- Beyond \$25/day, scale **20% every few days**, still waiting 3–5 days between increases
- Keep uploading new listings and cycling them through the testing process
- Reminder: ads are not required to succeed on Etsy, but they are the most powerful tool available if you want to scale faster
- Advanced tactics (used by clients scaling to \$10,000+/month with 2–4 ROAS) are reserved for paying clients; a link to book a call is available below the video (goal: \$5K/month within 90 days)